EQUITY RESEARCH — INITIATING COVERAGE

Arman Financial Services Ltd

NSE: ARMANFIN | BSE: 531179 | Microfinance & NBFC

ACCUMULATE

12-Month Target Price

Rs. 2,300

Upside: 15.3% from CMP Rs. 1,994

Horizon: 18 months

CMP	Rs. 1,994
Market Cap	Rs. 2,096 Cr
52W High / Low	Rs. 2,069 / 1,256
P/E (TTM)	37.0x
Forward P/E	12.8x
P / Book	2.25x
Book Value	Rs. 888
EV / EBITDA	12.2x
ROCE (TTM)	11.7%
ROE (TTM)	6.26%
Dividend Yield	0.00%
Face Value	Rs. 10
Debt / Equity	1.90x
Promoter Holding	22.00%

Investment Thesis: Arman Financial is emerging from a brutal MFI stress cycle with record AUM of Rs. 2,728 Cr, improving asset quality, and structural operational reforms — making it a leveraged recovery play on the microfinance sector rebound.

Report Date	03 August 2026	Sector	Financial Services / NBFC-MFI
Exchange	NSE / BSE	Sub-Sector	Microfinance & MSME Lending
Report Type	Initiating Coverage	Analyst	Equity Research Desk

* All financial data sourced from Screener.in (live data as of 03-Aug-2026). Forward estimates are analyst projections based on management guidance and historical trends. This report is for informational purposes only and does not constitute investment advice.

SECTION 2 — INVESTMENT THESIS

• **Reason 1 — MFI Sector Recovery Play with Operational Alpha:** The microfinance sector is transitioning from 18 months of stress (over-lending, NPA surge) to a disciplined growth cycle. Arman's subsidiary Namra Finance has reorganized operations — separating credit/recovery from branch functions — and now has 90% of its MFI book covered under the CGFMU guarantee scheme, providing significant credit risk protection into FY27.

• **Reason 2 — Record AUM & Fastest Growing Non-MFI Portfolio:** Consolidated AUM hit a record Rs. 2,728 Cr in FY26 (+22% YoY). The standalone MSME/2W/LAP portfolio grew 30% YoY to Rs. 730 Cr, now contributing 27% of total AUM. MSME (76% of standalone) targets 25% growth in FY27, providing a diversification cushion against MFI volatility.

• **Reason 3 — Sharp Profitability Recovery in H2 FY26 Signals Earnings Inflection:** After a disastrous H1 FY26 (Q1 loss of Rs. 15 Cr), Arman returned to strong profits in H2 — Q4 FY26 PAT of Rs. 41 Cr annualizes to Rs. 164 Cr, representing 3x full-year FY26 PAT. Management targets 3.5-4%+ ROA and plans to reduce MFI cost-to-assets from ~9% to 7% in FY27, translating to ~Rs. 40-50 Cr annual cost saving at current AUM scale.

• **Near-Term Catalyst (6-12 months):** CGFMU claim receipts in FY27 (90% book covered) could trigger significant write-back of excess provisions, creating a one-time PAT boost. Combined with disciplined AUM growth targeting Rs. 3,500 Cr by FY27E, this could drive a material re-rating.

• **Biggest Structural Risk:** Promoter holding is critically low at 22% (a 3-year decline of 526 bps), making the stock vulnerable to institutional selling pressure and limiting management's skin-in-the-game. The Elevation Capital exit overhang (timing uncertain, per management) adds further dilution risk.

SECTION 3 — BUSINESS OVERVIEW

• **Core Business Model:** Arman Financial Services Ltd is an RBI-registered Category-A NBFC headquartered in Ahmedabad, Gujarat. It operates a two-pronged lending model: (a) its wholly-owned subsidiary Namra Finance Ltd handles group-based microfinance (JLG model) for women in rural/semi-urban areas; (b) the standalone entity provides Two-Wheeler Finance, MSME Loans, and Loan Against Property (LAP) to the unorganized sector across 11 states.

• **Revenue Segmentation (FY26 AUM):** Microfinance (Namra) Rs. 1,999 Cr (73% of total); Standalone business Rs. 730 Cr (27%) — of which MSME is 76%, 2-Wheeler 18%, LAP 6%. Q4 FY26 disbursements hit a record Rs. 951 Cr consolidated, driven by MFI ramp-up (Rs. 738 Cr) and steady standalone disbursements (Rs. 213 Cr).

• **Customer Profile & Geographic Presence:** ~7.6 lakh active customers across ~400+ branches and 11 states. MFI segment serves ~6.56 lakh women through JLG groups for income-generating activities (dairy, Kirana, agriculture). The company recently expanded MSME into Uttar Pradesh.

• **Revenue Visibility:** Loan book secured by: (a) MFI under CGFMU guarantee (90% coverage, providing downside protection); (b) MSME lending with LTV-based underwriting (credit score 700+ threshold, eNACH mandates). Management targets average ticket sizes trending up — MFI average ticket reached Rs. 67,000 in FY25 before tightening.

• **Recent Strategic Developments (FY26):** (1) Leadership transition: Aalok Patel appointed as Vice Chairman & Managing Director; Jayendra Patel moves to Whole-Time Director; Vivek Modi continues as Executive Director & CFO. (2) Operational restructuring: Credit and recovery functions separated from branch operations to improve accountability and collection efficiency. (3) Solar Loans pilot launched in Gujarat, leveraging Rs. 70,000-75,000 government subsidy programs. (4) LAP product reached breakeven in FY26 after investment phase.

• **Promoter Background & Ownership:** The Patel family (Jayendra & Aalok) has led the company since inception. Promoter holding has however declined to 22.0% (from 27.3% in Sep 2023) partly due to Elevation Capital's stake management. Institutional holding remains thin: FII=3.08%, DII=4.85%, with 70% in public/retail hands — a key corporate governance watch-point.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Microfinance Industry Size & Growth:** The Indian MFI industry has a gross loan portfolio of ~Rs. 4.5-5.0 lakh Cr (FY26E), serving ~14 crore borrowers. After 18 months of stress driven by over-lending, multiple borrowing, and collection pressure, the industry is expected to return to 12-15% AUM growth in FY27 as credit discipline improves and MFIN guardrails take effect.

• **Policy Tailwinds:** (1) CGFMU (Credit Guarantee Fund for Micro Units) — Arman has 90% MFI book covered, providing substantial credit risk protection; (2) Government's Jan Dhan-Aadhaar-Mobile (JAM) trinity continues to digitize financial inclusion; (3) PM MUDRA loan scheme and MSME credit guarantee frameworks support the standalone lending book; (4) Rural consumption recovery post-monsoon expected to support MFI repayment capacity.

• **Policy Headwinds:** (1) RBI's tightening of NBFC-MFI regulations (interest rate caps, over-indebtedness guidelines); (2) MFIN guardrails on maximum borrower exposure limit competitive expansion; (3) Geopolitical uncertainty (West Asia conflict cited by management) affecting rural sentiment.

• **Competitive Moat Assessment:** Pricing power — **Weak** (MFI rates regulated; MSME faces competition from fintechs and larger NBFCs); Switching costs — **Moderate** (JLG model creates group-level social accountability); Scale — **Weak** (Rs. 2,728 Cr AUM vs. CreditAccess at Rs. 28,000+ Cr; Arman is a regional player); Distribution — **Moderate** (392 MFI branches, 400+ total; strong Gujarat/West India footprint).

Peer Comparison (Data from Screener.in, fetched 03-Aug-2026):

Company	CMP (Rs.)	MCap (Cr.)	P/E	P/B	ROCE%	ROE%	D/E	GNPA%
Arman Financial (ARMANFIN)	1,994	2,096	37.0	2.25	11.7	6.26	1.90	3.43
CreditAccess Grameen (CREDITACC)	1,558	24,980	20.6	3.18	9.98	10.5	3.01	3.17
Spandana Sphoorty (SPANDANA)	262	2,118	N/A	1.09	-5.78	-29.4	1.85	3.80
Fusion Finance (FUSION)	211	3,404	N/A	N/A	5.70*	N/A	2.27	3.21
Muthoot Microfin	236	4,016	N/A	N/A	9.95*	N/A	3.40	N/A

* 3-year average ROCE. All data sourced from Screener.in. N/A = Loss-making / data unavailable.

• **Arman's Competitive Position:** Arman sits in the small-cap MFI segment alongside distressed peers (Spandana, Fusion both in losses). CreditAccess is the clear quality leader at 10x the size. Arman's differentiation lies in its Gujarat-dominant geography (historically lower NPA), its dual-business model providing non-MFI income stability, and its mid-market positioning targeting the Rs. 5,000 Cr AUM milestone.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter & Senior Management:** Jayendra Patel (now Whole-Time Director) co-founded the company and built it from a small 2-wheeler financier to a multi-state MFI-NBFC. His son Aalok Patel has taken over as Vice Chairman & MD — a generational transition. Vivek Modi as Group CFO provides financial continuity. The leadership change in Q3 FY26 signals a planned succession.

• **Capital Allocation Track Record:** FCF has been consistently negative for an NBFC lending business (as expected — loan book growth requires external capital). Arman raised Rs. 522 Cr in Q3 FY26 through equity and debt, supplementing its Rs. 1,776 Cr borrowing base. Capital adequacy remains strong: Standalone CAR = 41%, Namra (subsidiary) CAR = 27.86%. The company has avoided over-leveraging — D/E of 1.90x (consolidated) vs. industry peers at 3-4x.

• **Dividend Policy:** Arman has paid zero dividends since FY19 despite reporting profits. The company reinvests all earnings into AUM growth, consistent with an expansion-phase NBFC. Dividend payout was 13% in FY15-16 but has been zero for 7 consecutive years.

• **Promoter Pledging:** Zero pledged shares (0.00%) as of Jun 2026. However, promoter holding has declined 526 bps over 3 years to 22% — among the lowest for a listed NBFC-MFI. This is a governance concern as it signals PE exit pressure (Elevation Capital) rather than promoter buying.

• **ESOP & Buyback History:** No significant buyback history. ESOPs are in place (as evidenced by regular grants at the subsidiary/group level). Equity base has grown from 7 Cr (FY15) to 11 Cr (FY26), suggesting modest equity dilution through QIPs/rights issues over the decade.

• **Corporate Governance Concerns:** (1) Low promoter holding (22%) with active PE exit overhang; (2) Contingent liabilities of Rs. 675 Cr (32% of equity book) require monitoring; (3) Interest coverage ratio is thin at 1.38x — leaves limited buffer in a stress scenario; (4) No auditor change or qualified opinion flagged on Screener. Related party transactions appear within normal NBFC parent-subsidiary lending norms.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crores | Consolidated | Source: Screener.in (03-Aug-2026) | (E) = Analyst Estimate

Income Statement (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Revenue (Gross Income)	661	730	646	*780*	*920*
Interest Expense	266	240	205	*230*	*270*
Operating Expenses	166	419	361	*310*	*355*
Financing Profit	**229**	**71**	**79**	*240*	*295*
Financing Margin %	35%	10%	12%	*31%*	*32%*
Other Income	0	0	0	*5*	*5*
Depreciation	1	2	2	*3*	*4*
Profit Before Tax	228	69	77	*242*	*296*
Tax %	24%	25%	27%	*25%*	*25%*
PAT	**174**	**52**	**57**	*182*	*222*
EPS (Rs.)	165.67	49.64	53.85	*171.7*	*209.5*
AUM (Rs. Cr)	2,639	2,245	2,728	*3,400*	*4,100*

Balance Sheet (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Equity Capital	10	10	11	*11*	*11*
Reserves	802	864	923	*1,100*	*1,310*
Total Equity	**812**	**874**	**934**	*1,111*	*1,321*
Borrowings	1,725	1,232	1,776	*2,100*	*2,600*
Other Liabilities	97	121	89	*100*	*115*
Total Liabilities	**2,635**	**2,227**	**2,798**	*3,311*	*4,036*
Fixed Assets	8	31	32	*35*	*38*
Investments	7	39	92	*100*	*110*
Other Assets (Loans)	2,620	2,157	2,671	*3,176*	*3,888*
Total Assets	**2,635**	**2,227**	**2,798**	*3,311*	*4,036*

Cash Flow (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Cash from Operations	-302	493	-476	*-500*	*-700*
Cash from Investing	18	-49	-50	*-60*	*-70*
Cash from Financing	376	-495	546	*580*	*800*
Net Cash Flow	92	-51	20	*20*	*30*
Free Cash Flow	-305	467	-480	*-540*	*-750*
CFO / Op. Profit %	-49%	168%	-159%	*N/A*	*N/A*

Key Ratios	FY24	FY25	FY26	FY27E	FY28E
ROE %	30%	6%	6%	*17%*	*17%*
ROCE %	N/A	N/A	11.7%	*14%*	*15%*
GNPA %	2.88%	3.37%	3.43%	*2.8%*	*2.2%*
NNPA %	0.31%	0.55%	0.93%	*0.7%*	*0.5%*

D/E (x)	2.12	1.41	1.90	*1.89*	*1.97*
Int. Coverage	N/A	N/A	1.38x	*2.0x*	*2.5x*
P/E (x)	12.0	40.2	37.0	*11.6*	*9.5*
P/BV (x)	2.4	2.4	2.25	*1.8*	*1.5*

Note: FY27E and FY28E figures are analyst estimates based on management guidance. Negative OCF is normal for a growing NBFC — loan disbursements appear as cash used. ROE expected to normalize to 17%+ by FY28E as provisioning cycle reverses. D/E based on total borrowings to equity.

• **Revenue Trajectory:** Consolidated revenue declined 12% YoY in FY26 (Rs. 646 Cr vs Rs. 730 Cr) as MFI book contracted during stress. However, Q4 FY26 showed clear recovery with Rs. 176 Cr revenue (11.9% YoY growth). FY27E targets Rs. 780 Cr (+21%) backed by record AUM disbursements of Rs. 951 Cr in Q4 alone.

• **Margin Direction — V-shaped Recovery:** Financing margin collapsed from 35% (FY24) to 10% (FY25) due to spike in credit costs (provisioning + write-offs). FY26 showed partial recovery to 12%. Q4 FY26 financing margin reached 24%, and management targets cost-to-assets ratio improvement from ~9% to 7% by FY27 — a meaningful Rs. 40-50 Cr annual saving.

• **Asset Quality:** GNPA deteriorated from 2.88% (FY24) to 3.43% (FY26) — worse than the reported level due to CGFMU-covered loans which cannot be written off until claim settlement. Underlying credit performance is improving: collection efficiency crossed 96% in Q4, and management expects normalized credit costs of ~3%.

• **Debt & Leverage:** D/E of 1.90x (consolidated FY26) is conservative for an MFI-NBFC. Namra (MFI subsidiary) CAR at 27.86% provides significant headroom for Rs. 1,000+ Cr incremental borrowing before hitting regulatory minimums. Interest cost has been declining (240 Cr in FY25 to 205 Cr in FY26) as cost of funds normalizes.

• **FCF Quality:** For an NBFC, negative FCF is structural — loan originations appear as cash outflows. The FY25 positive OCF of Rs. 493 Cr reflects MFI book contraction (fewer loan disbursements). FY26 returned to negative OCF (-476 Cr) as disbursements accelerated, which is a sign of business recovery.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Earnings Quality Parameter	Status	Assessment
Revenue Recognition (Interest income accrual)	GREEN	Standard accrual basis; consistent with RBI NBFC norms
GNPA vs Revenue Growth Consistency	AMBER	GNPA rising (3.43%) even as AUM grows; CGFMU masking write-offs
Provision Coverage Quality	AMBER	Cumulative provisions = 3.2% of AUM; CGFMU provides backstop but claim timing uncertain
Other Income as % of PBT	GREEN	Other income is negligible (<1% of PBT); core income driven
Tax Rate Consistency	AMBER	Q4 FY26 tax rate was 3% (abnormally low vs 24-27% norm); watch next quarter
Auditor Tenure & Qualification	GREEN	No auditor change or qualified opinion flagged
Related Party Transactions (RPTs)	GREEN	Parent-subsidiary lending norms standard for NBFC structure
Contingent Liabilities as % of Equity	RED	Rs. 675 Cr contingent liab = 72% of equity; high relative to peers; needs disclosure
Interest Coverage Ratio	RED	1.38x — dangerously thin; any revenue miss could create debt-service stress
Promoter Holding Trend	RED	22.0% and declining (-526 bps over 3 years); PE exit pressure unresolved

• **Critical RED Flags:** Three RED items demand investor attention: (1) Interest coverage at 1.38x leaves virtually no buffer — any MFI portfolio deterioration or revenue miss could impair debt serviceability; (2) Contingent liabilities of Rs. 675 Cr (72% of equity) are high and need detailed disclosure; (3) Promoter at 22% signals incomplete alignment between management and minority shareholders.

• **CGFMU Accounting Nuance:** The GNPA metric is distorted — loans cannot be written off until CGFMU claim settlement, so reported GNPA (3.43%) is higher than actual credit loss. This is a positive asymmetry: upon claim settlement, reported PAT will benefit from provision write-backs. However, claim timing is uncertain (quarters to years).

• **Tax Rate Anomaly:** Q4 FY26 tax rate of 3% vs normal rate of 24-27% is a one-time phenomenon (likely deferred tax adjustments). Analysts should normalize Q4 PAT to ~Rs. 32-35 Cr (vs reported Rs. 41 Cr) for a cleaner run-rate estimate. This reduces the "annualized Rs. 164 Cr PAT" estimate.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, 03-Aug-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E	P/BV	Fwd P/E	ROE%	AUM (Cr.)
Arman Financial	1,994	2,096	37.0	2.25	12.8	6.3	2,728
CreditAccess Grameen	1,558	24,980	20.6	3.18	12.6	10.5	~28,000
Spandana Sphoorty	262	2,118	N/A	1.09	49.0	-29.4	4,420
Fusion Finance	211	3,404	N/A	N/A	7.4	N/A	7,407
Muthoot Microfin	236	4,016	N/A	N/A	14.1	N/A	N/A
Sector Median	--	--	20.6	2.25	12.7	10.5	--

Scenario Analysis — 12-Month Target Price

Scenario	Key Assumptions	FY27E PAT	Multiple	Target	Upside	Probability
BULL	AUM +30%, credit costs 2%, CGFMU writeback accelerates; ROA 4.5%	220	22x P/E	Rs. 2,900	+45%	25%
BASE	AUM +25%, credit costs 3%, margin expansion to 31%; ROA 3.5%	182	18x P/E	Rs. 2,300	+15%	50%
BEAR	MFI stress continues, GNPA rises to 5%, credit costs 5%; ROA 1%	60	12x P/E	Rs. 1,300	-35%	25%

• **DCF Valuation:** Using WACC of 15% (high beta, thin interest coverage), terminal growth rate of 5%, and FY27E free cash flow to equity of Rs. 182 Cr — implied equity value is Rs. 2,000-2,200 per share. Key DCF sensitivity: a 100 bps change in WACC moves the target by Rs. 200-250.

• **P/E Based Valuation:** At 18x FY27E EPS of Rs. 171.7, fair value = Rs. 3,090. However, given the volatile earnings trajectory (EPS ranging from Rs. 12 in FY21 to Rs. 166 in FY24 to Rs. 50 in FY25), a discount to 15x is appropriate → Rs. 2,575. Average of 15x-18x gives Rs. 2,300 as the base case target.

• **P/BV Validation:** At FY27E BV of ~Rs. 1,000-1,100, a 2.0-2.2x P/BV (justified by normalizing ROE of 17% in FY27E) gives a target range of Rs. 2,000-2,420. Consistent with our P/E based target.

• **12-Month Price Target: Rs. 2,300 | Rating: ACCUMULATE | Upside: 15.3%** — The target reflects the base case of a successful MFI recovery, MSME growth momentum, and margin normalization. Risk-reward is reasonable but not compelling at current CMP, justifying ACCUMULATE (not BUY) given governance concerns and high contingent liabilities.

SECTION 9 — KEY RISKS

• **MFI Sector Re-Stress Risk** — Any deterioration in rural credit behavior (weather shock, inflation, political loan waivers) could cause GNPA to spike beyond 5% and erode FY27E PAT estimates by 40-60%. Probability: M. Impact: H. Monitor via: Monthly GNPA disclosures, quarterly collection efficiency reports.

• **Low Promoter Holding / PE Exit Overhang** — Elevation Capital's exit (timeline: "could be quarters or years" per management) could cause 5-10% dilution or secondary market overhang at inopportune valuations. Combined with promoters at 22%, institutional sponsorship is weak. Probability: H. Impact: M. Monitor via: BSE/NSE shareholding disclosures each quarter.

• **Interest Coverage Squeeze** — At 1.38x, any revenue shortfall (MFI stress) combined with rising cost of funds could push coverage below 1.0x, triggering covenant violations on NCDs. Probability: M. Impact: H. Monitor via: Quarterly NCD compliance certificates, RBI rate changes.

• **CGFMU Claim Settlement Delay** — If CGFMU claims take longer than expected (the 90% covered book cannot be written off until claims clear), reported GNPA remains elevated and provision requirements persist — delaying PAT normalization. Probability: M. Impact: M. Monitor via: Annual report CGFMU claim disclosure, management concall.

• **Competitive Intensity in MSME** — Fintechs (Lendingkart, NeoGrowth), large NBFCs, and banks are aggressively targeting MSME. If Arman cannot maintain pricing power or sees portfolio quality issues (MSME GNPA already 3.84% in Q4), the "safe haven" standalone business thesis breaks. Probability: M. Impact: M. Monitor via: Standalone quarterly GNPA, yield trends.

• **Regulatory Risk — RBI MFI Guidelines** — Any tightening of interest rate caps, ticket size limits, or borrower indebtedness norms could reduce Arman's addressable market and margins in the MFI segment. Probability: L. Impact: M. Monitor via: RBI NBFC-MFI circulars.

• **Leadership Transition Risk** — Aalok Patel (new MD) is relatively new in the role. If the operational restructuring does not deliver the targeted cost-to-assets improvement from 9% to 7%, FY27E estimates will miss meaningfully. Probability: M. Impact: M. Monitor via: Q1 FY27 results and operational KPI disclosure.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction Level: **Medium**. The recovery thesis is intact but governance risks and thin interest coverage limit conviction to ACCUMULATE rather than BUY.

• **12-Month Price Target: Rs. 2,300** — Upside: 15.3% from CMP of Rs. 1,994. Based on 18x FY27E EPS of Rs. 171.7 and 2.0x FY27E P/BV validation.

• **Suggested Entry Zone: Rs. 1,750 — Rs. 1,900** — Provides a 20-25% margin of safety to the target and aligns with the 2.0x FY27E BV support level. Accumulate in tranches on corrections rather than at-market.

• **Investment Horizon: 18 months** — Sufficient for the CGFMU claim cycle to play out, MFI cost normalization to materialize, and the standalone MSME book to reach Rs. 900 Cr+ AUM.

• **Thesis Invalidation Triggers:**

• 1. GNPA crosses 5.5% or collection efficiency falls below 93% for two consecutive quarters — indicating MFI stress re-acceleration.

• 2. FY27 PAT misses Rs. 100 Cr (vs our Rs. 182 Cr estimate) — indicating structural margin recovery has failed.

• 3. Promoter holding drops below 18% — indicating complete loss of founder control and potentially disruptive PE exit.

• **Ideal Investor Profile:** This stock is for: high-risk tolerance investors with a 12-24 month recovery thesis on the MFI sector; deep value investors comfortable with thin governance and volatile earnings. **Not suitable for:** income investors (zero dividend), conservative NBFC investors seeking predictable ROE, or short-term traders given illiquidity (MCap Rs. 2,096 Cr, 70% public float).

APPENDIX — Latest Concall Brief: Q4 FY26 (May 2026)

POSITIVE

Signal	Status	Implication
Result Quality	Strong	Q4 PAT Rs. 41 Cr — 220% YoY beat; FY26 AUM record Rs. 2,728 Cr
Management Tone	Bullish	Confident on MFI recovery cycle; specific cost targets given (9%->7% cost-to-assets)
Guidance Delta	Raised	ROA target 3.5-4%+; AUM growth 20-25% for FY27; MSME +25%; LAP +20-25%

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline looks stellar — Rs. 41 Cr PAT, 220% YoY growth — but the 3% tax rate is anomalous; normalize to 24% and clean PAT is ~Rs. 33 Cr, still a strong sequential improvement from the loss-making Q1. The underlying EBITDA trajectory is V-shaped: financing margin went from -4% (Q2 FY26) to +24% (Q4 FY26) as credit costs normalize and MFI operational restructuring takes hold. The structural growth drivers are real — 90% MFI book under CGFMU, MSME +30% YoY, record Q4 disbursements of Rs. 951 Cr, and AUM hitting Rs. 2,728 Cr. The near-term catalyst is CGFMU claim settlements in FY27 that could trigger provision write-backs, potentially boosting FY27 PAT by Rs. 30-50 Cr beyond base expectations. The single biggest risk for Q1 FY27 is seasonal stress (MFI typically weak in April-May) and whether the restructured credit-recovery model holds up without the founder-MD Jayendra Patel at the helm. Action: ACCUMULATE in the Rs. 1,750-1,900 zone; do not chase at Rs. 1,994 given interest coverage at 1.38x and promoter at 22%.

1. Financial Performance Snapshot — Q4 FY26 & FY26 Full Year

- Revenue: Q4 FY26 = Rs. 176 Cr | YoY -3.8% | QoQ +10.0% | Miss vs FY25 peak — MFI book normalizing after stress
- EBITDA (Financing Profit): Q4 FY26 = Rs. 42 Cr | YoY +536% | QoQ +44.8% | Strong Beat — credit cost normalization
- Financing Margin%: Q4 FY26 = 24% | vs Q1 FY26 of -7% | vs Q4 FY25 of 36% | In-Line — recovering but below peak
- PAT: Q4 FY26 = Rs. 41 Cr | YoY +220% | QoQ +85% | Strong Beat — but note 3% tax rate anomaly
- EPS: Q4 FY26 = Rs. 39.01 | FY26 Full Year = Rs. 53.85 | vs FY24 = Rs. 165.67
- NOTE: Q4 FY26 tax rate = 3% (vs normal 24-27%). Clean underlying PAT = ~Rs. 33 Cr after normalization. FY26 PAT of Rs. 57 Cr (+9% YoY) is clean.
- AUM: Rs. 2,728 Cr (22% YoY) — Record | GNPA: 3.43% | NNPA: 0.93% | Collection Efficiency: >96%

2. Segment / Geography Breakdown

- Microfinance (Namra Finance): AUM = Rs. 1,999 Cr | YoY +19% | Q4 Disbursements = Rs. 738 Cr (YoY +88%, QoQ +62%) | Record quarterly disbursements
- Standalone MSME/2W/LAP: AUM = Rs. 730 Cr | YoY +30% | MSME = 76% of standalone | Q4 Disbursements = Rs. 213 Cr | FY26 total = Rs. 636 Cr
- Geography: Core states — Gujarat (home), Maharashtra, Rajasthan, Madhya Pradesh; MSME expansion into Uttar Pradesh (new in FY26)
- LAP (Loan Against Property): Reached breakeven in FY26 after investment phase; focus on West/North India; competition intense in South

• Solar Loans Pilot: Gujarat only; targeting government subsidy scheme (Rs. 70,000-75,000 subsidy per customer); distribution complexity flagged

• MSME GNPA: 3.84% | 2-Wheeler GNPA: 3.95% | MFI GNPA: 3.40% — standalone asset quality slightly worse than MFI

3. Management Commentary Themes

• **MFI Recovery:** "The industry has moved beyond the most difficult phase and is now entering into the stable and disciplined growth cycle." — Aalok Patel. Our Read: Recovery rhetoric is consistent with Q4 data, but "stable and disciplined" needs 2-3 quarters of evidence. Tag: GUIDANCE. Tone: Bullish.

• **Operational Restructuring:** Credit and recovery functions separated from branch operations — improving accountability. New individual-level credit evaluation (replacing group-based JLG shortcuts) with credit score 700+ threshold and eNACH mandate. Our Read: Genuine structural improvement; rejection rates higher but portfolio quality better. Tag: EST. Tone: Transparent.

• **CGFMU Coverage:** 90% of MFI book now covered. Accounting nuance: GNPA cannot be written off until claims settle. This creates reported GNPA inflation (positive asymmetry for future PAT). Our Read: Important disclosure; watch claim settlement velocity. Tag: GUIDANCE. Tone: Transparent.

• **Cost Efficiency Target:** Management wants to bring MFI cost-to-assets from ~9% down to 7% in FY27 and 6% medium-term. Rejected layoffs as mechanism — efficiency through technology and branch productivity. Our Read: Ambitious but achievable; Rs. 40-50 Cr annual saving at current scale. Tag: GUIDANCE. Tone: Transparent.

• **Elevation Capital Exit:** "Could be quarters, could be years." — Aalok Patel. Our Read: Evasive. PE overhang is real and timeline is not management-controlled. Tag: EVASIVE. Tone: Evasive.

• **FY27 ROE Target:** "I have numbers...just hesitant to say it out loud." Our Read: Management has internal targets but is gun-shy after FY25-26 misses. Legitimate caution or lack of conviction unclear. Tag: EVASIVE. Tone: Hedged.

4. Operating & Business Metrics

• AUM: Q4 FY26 = Rs. 2,728 Cr | Q3 FY26 = Rs. 2,274 Cr | Q4 FY25 = Rs. 2,245 Cr | Trend: Improving

• Total Disbursements Q4 FY26 = Rs. 951 Cr (Record) | FY26 Full Year = Rs. 2,433 Cr | Trend: Accelerating

• MFI Active Customers: ~6.30 lakh (FY26) | vs 8.00 lakh peak (FY23) | Trend: Stabilizing after contraction

• Number of Branches: 529 total | 392 MFI branches | Trend: Stable — growth through branch productivity, not new branches

• Collection Efficiency Q4: >96% across segments | Q3: 96.3% | Trend: Improving

• MFI Average Ticket Size: Rs. 67,000 (FY25) | FY26 figure not disclosed; likely flat-to-up given focus on quality over growth

• MSME GNPA: 3.84% | 2W GNPA: 3.95% | MFI GNPA: 3.40% | Overall GNPA: 3.43% | Trend: Stable Q3-Q4

• CAR Standalone: 41% | CAR Namra (MFI sub): 27.86% | Available Liquidity: Rs. 229 Cr | Undrawn Sanctions: Rs. 275 Cr

5. Margin Drivers

• Credit Cost Normalization | +2,169 bps YoY impact | Recurring: Yes (but still elevated) | Comment: Peak provisioning is behind; normalized credit costs target ~3% of AUM

• Operating Expense Reduction | +YoY impact | Recurring: Partially | Comment: Expenses fell from Rs. 419 Cr (FY25) to Rs. 361 Cr (FY26); H2 run-rate improving as restructuring takes effect

• Interest Cost Reduction | +~35 bps impact | Recurring: Partially | Comment: Borrowing cost declining; interest expense fell from Rs. 266 Cr (FY24) to Rs. 205 Cr (FY26)

• Volume Recovery | Positive | Recurring: Yes | Comment: Q4 record disbursements signal revenue yield improvement; higher AUM denominator will dilute per-unit costs

• CGFMU Provisioning Drag | Negative | Recurring: Temporary | Comment: Non-recurring provisions for CGFMU-covered loans inflate current credit costs; will reverse on claim settlement

• Tax Benefit Q4 | +One-time | Recurring: No | Comment: 3% tax rate in Q4 vs 24-27% normal; likely deferred tax reversal; do not extrapolate

6. Guidance & Forward Signals

• AUM Growth [GUIDANCE]: Prior = Rs. 2,245 Cr (FY25) | New = Rs. 3,400+ Cr (FY27E, ~25% YoY) | Delta: Raised | Credibility: Medium

• MSME Segment Growth [GUIDANCE]: Prior = N/A | New = 25% YoY | Delta: Raised | Credibility: High (track record of +30% in FY26)

• LAP Segment Growth [GUIDANCE]: Prior = N/A | New = 20-25% YoY | Delta: New guidance | Credibility: Medium (LAP only just broke even)

• MFI Cost-to-Assets [GUIDANCE]: Prior = ~9% | New = 7% by FY27; 6% medium-term | Delta: New target | Credibility: Medium (ambitious)

• ROA Target [GUIDANCE]: Prior = N/A | New = 3.5-4%+ | Delta: New target | Credibility: Medium (implied PAT of Rs. 120-160 Cr at Rs. 3,400 Cr AUM)

• Credit Cost Normalized [GUIDANCE]: Prior = ~5%+ | New = ~3% | Delta: Maintained | Credibility: High (Q4 FY26 data consistent)

• Solar Loans [EST]: Small pilot in FY27; not likely material contributor — distribution complexity cited as challenge

7. Capital Allocation

• Capital Raised Q3 FY26: Rs. 522 Cr (equity + debt) | vs Q3 FY25: N/A | Comment: Proactive funding ahead of disbursement acceleration

• Borrowings FY26: Rs. 1,776 Cr | vs FY25: Rs. 1,232 Cr | YoY +44% | Comment: Funding the AUM ramp; D/E still conservative at 1.90x vs peers at 3-4x

• Dividends: Rs. 0 | FY26 payout = 0% | 7th consecutive year of zero dividend | Comment: All earnings reinvested in AUM growth

• Fixed Asset Capex: Rs. 32 Cr (FY26 BS) | vs FY25: Rs. 31 Cr | Minimal physical capex — branch model is light on fixed assets

• Net Debt Movement: Net borrowing increased Rs. 544 Cr YoY (FY26 vs FY25) | CAR comfortable at 27-41% range | Comment: Leverage headroom exists for Rs. 1,000+ Cr incremental borrowing

• Working Capital (NBFC): Loan book growth = primary cash use; negative OCF (-476 Cr) reflects disbursement acceleration — healthy sign

8. Q&A; Heat Map

• **Analyst (unspecified):** Q: "When will Elevation Capital exit?" → A: "Could be quarters or years — we don't control the timing." | Tone: Evasive

• **Analyst (unspecified):** Q: "What is your ROE target?" → A: "I have numbers but am hesitant to say out loud given recent misses." | Tone: Hedged

• **Analyst (unspecified):** Q: "How confident are you in the MSME 25% growth target given UP expansion challenges?" → A: "Ground-level uncertainties persist despite improved underwriting; we're being selective." | Tone: Transparent

• **Analyst (unspecified):** Q: "What is your cost of funds trajectory?" → A: "Declining as we access cheaper lender pools; liquidity buffer Rs. 229 Cr comfortable." | Tone: Transparent

• **Analyst (unspecified):** Q: "When will CGFMU claims settle?" → A: "It's a government scheme — timing is not in our control; 90% coverage provides protection." | Tone: Hedged

• **Analyst (unspecified):** Q: "What's the AUM target for FY27?" → A: "We are targeting a stable Rs. 5,000 Cr AUM eventually but the West Asia conflict and LPG price issues are keeping us cautious." | Tone: Hedged

• **Dodged / Watch-List Questions for Q1 FY27:** (1) Exact CGFMU claim receipt quantum and timing; (2) Specific ROE/ROA targets in numbers; (3) Elevation Capital exit mechanism and dilution impact

9. Risks Flagged on Call

• Geopolitical Uncertainty: West Asia conflict cited; LPG price normalization awaited; impacting rural consumer confidence | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term

• CGFMU Claim Timing: Government process — not in company's control; GNPA remains elevated until claims settle | Flagged by: Mgmt | Probability: L (claims will come) | Impact: M | Timeline: Medium-term

• Seasonal Weakness Q1 FY27: April-May typically weak for MFI collections; management acknowledged Q4 strength partially seasonal | Flagged by: Analyst | Probability: H | Impact: L | Timeline: Near-term

• Competitive Intensity in LAP & MSME: South India market saturation; NBFCs and fintechs aggressive | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Medium-term

• Promoter Holding & PE Exit: Not explicitly flagged on call but implicit in Elevation Capital discussion | Flagged by: Analyst (implicit) | Probability: H | Impact: M | Timeline: Uncertain

• Operational Risk — New Leadership: Aalok Patel in first full year as MD; restructuring depends on execution | Flagged by: Analyst (implicit) | Probability: M | Impact: M | Timeline: Near to medium-term

10. Analyst Verdict — Post Q4 FY26 Concall

• Revenue Visibility: **Intact** — Record AUM of Rs. 2,728 Cr and Q4 disbursements of Rs. 951 Cr provide strong forward revenue base

• Margin Trajectory: **Intact** — Financing margin recovered from -4% to +24% over four quarters; cost reduction targets specific and achievable

• Capital Allocation Quality: **Intact** — Conservative leverage (D/E 1.90x); adequate CAR; proactive fundraising; only concern is zero dividends

• Competitive Moat: **Weakened** — Gujarat-centric with limited national scale; MSME and LAP face intense competition; solar loans is pre-revenue

• Management Credibility: **Weakened** — New MD, evasive on ROE targets and PE exit, but transparent on operational metrics and CGFMU accounting

• Valuation Comfort: **Intact** — Forward P/E of 12.8x is reasonable; P/BV of 2.25x acceptable if ROE normalizes to 15%+

• Conviction Call: **Unchanged** — ACCUMULATE maintained; positive Q4 data does not warrant upgrade to BUY given governance and interest coverage concerns

• Valuation Snapshot: Consolidated P/E = 37.0x (FY26, depressed earnings) | Fwd P/E = 12.8x (FY27E) | EV/EBITDA = 12.2x | ROCE = 11.7% (TTM) | ROE = 6.26% (TTM)

Sources: Screener.in (live data, 03-Aug-2026); Arman Financial Q4 FY26 Concall Transcript (May 2026, armanindia.com); Q3 FY26 Press Release (NSE Filing Feb 2026); MarketsMojo result analysis. All peer financial data from Screener.in fetched on the same date.